

BUSINESS RESPONSIBILITY & SUSTAINABILITY REPORT

(Annexure 'E' to the Board's Report)

SECTION A: GENERAL DISCLOSURES

I. Details of the listed entity

1.	Corporate Identity Number (CIN) of the Listed Entity	L31901WB1978PLC031411
2.	Name of the Listed Entity	CESC Limited
3.	Year of incorporation	1978
4.	Registered office address	CESC House, Chowringhee Square, Kolkata - 700001, West Bengal, India
5.	Email	secretarial@rpsg.in
6.	Telephone	033 - 22256040-49
7.	Website	https://www.cesc.co.in
8.	Financial year for which reporting is being done	2022-23
9.	Name of the Stock Exchange(s) where shares are listed	BSE Limited (BSE) and National Stock Exchange of India Limited (NSE)
10.	Paid-up Capital	₹ 132.56 Crore
11.	Name and contact details (telephone, email address) of the person who may be contacted in case of any queries on the BRSR report	Mr. Jagdish Patra Company Secretary & Compliance Officer Contact No.: 033-22256040 Email Id: secretarial@rpsg.in
12.	Reporting boundary	Reporting on standalone basis

II. Products/Services

13. Details of business activities (accounting for 90% of the turnover):

S. No.	Description of Main Activity	Description of Business Activity	% of Turnover of the entity
1.	Generation and Distribution of electricity	Power generation and distribution	100%

14. Products/Services sold by the entity (accounting for 90% of the entity's Turnover):

S. No.	Product/Service	NIC Code	% of total Turnover contributed
1.	Generation and Distribution of electricity	35102	100%

III. Operations

15. Number of locations where plants and/or operations/offices of the entity are situated:

Location	Number of plants	Number of offices	Total
National	158*	55**	213
International	-	-	-

*Includes Distribution Centres

**Includes Cash Offices

16. Markets served by the entity:

a. Number of locations

Locations	Number
National (No. of States)	1
International (No. of Countries)	-

b. What is the contribution of exports as a percentage of the total turnover of the entity?

Nil. The Company generates and distributes power only in its licensed area in and around Kolkata, India.

c. A brief on types of customers

We serve four categories of customers:

- i. Domestic
- ii. Industrial
- iii. Commercial
- iv. Others (e.g., Government Agencies, pumping stations, local bodies, schools etc.)

IV. Employees

17. Details as at the end of Financial Year:

a. Employees and workers (including differently abled):

S. No.	Particulars	Total (A)	Male		Female	
			No. (B)	% (B/A)	No. (C)	% (C/A)
Employees						
1.	Permanent (D)	6469	5966	92.22%	503	7.78%
2.	Other than Permanent (E)	-	-	-	-	-
3.	Total Employees (D + E)	6469	5966	92.22%	503	7.78%

b. Differently abled employees and workers:

S. No.	Particulars	Total (A)	Male		Female	
			No. (B)	% (B/A)	No. (C)	% (C/A)
Differently abled Employees						
1.	Permanent (D)	58	57	98%	1	2%
2.	Other than Permanent (E)	-	-	-	-	-
3.	Total Employees (D + E)	58	57	98%	1	2%

18. Participation/Inclusion/Representation of women:

	Total (A)	No. and percentage of Females	
		No. (B)	No. (C)
Board of Directors	10	1	10%
Key Management Personnel*	2	0	0%

*Excludes 2 Managing Director(s)

19. Turnover rate for permanent employees and workers:

	FY 2022-23 (Turnover rate in current FY)			FY 2021-22 (Turnover rate in previous FY)			FY 2020-21 (Turnover rate in the year prior to the previous FY)		
	Male	Female	Total	Male	Female	Total	Male	Female	Total
Permanent employees	8.64%	3.98%	8.29%	8.33%	3.79%	8.01%	8.44%	4.04%	8.15%

V. Holding, Subsidiary and Associate Companies (including Joint Ventures)

20. Names of holding / subsidiary / associate companies / joint ventures

S. No.	Name of the holding / subsidiary / associate companies / joint ventures (A)	Indicate whether holding/ Subsidiary/ Associate/ Joint Venture (B)	% of shares held by listed entity (C)	Does the entity indicated at column A, participate in the Business Responsibility initiatives of the listed entity? (Yes/No) (D)
1.	Malegaon Power Supply Limited	Subsidiary	100%	No
2.	CESC Projects Limited	Subsidiary	100%	No
3.	Bantal Singapore Pte. Limited	Subsidiary	100%	No
4.	Ranchi Power Distribution Company Limited	Subsidiary	100%	No
5.	Pachi Hydropower Projects Limited	Subsidiary	100%	No
6.	Papu Hydropower Projects Limited	Subsidiary	100%	No
7.	Au Bon Pain Café India Limited	Subsidiary	93.10%	No
8.	Haldia Energy Limited	Subsidiary	100%	No
9.	Dhariwal Infrastructure Limited	Subsidiary	100%	No

S. No.	Name of the holding / subsidiary / associate companies / joint ventures (A)	Indicate whether holding/ Subsidiary/ Associate/ Joint Venture (B)	% of shares held by listed entity (C)	Does the entity indicated at column A, participate in the Business Responsibility initiatives of the listed entity? (Yes/No) (D)
10.	Kota Electricity Distribution Limited	Subsidiary	100%	No
11.	Bikaner Electricity Supply Limited	Subsidiary	100%	No
12.	Bharatpur Electricity Services Limited	Subsidiary	100%	No
13.	Crescent Power Limited	Subsidiary	67.83%	No
14.	CESC Green Power Limited	Subsidiary	100%	No
15.	Jharkhand Electric Company Limited	Subsidiary	100%	No
16.	Jarong Hydro-Electric Power Company Limited	Subsidiary	100%	No
17.	Eminent Electricity Distribution Limited	Subsidiary	100%	No
18.	Noida Power Company Limited	Subsidiary	72.73%	No
19.	Mahuagarhi Coal Company Private Limited	Joint Venture	50%	No

VI. CSR Details

21. (i) Whether CSR is applicable as per section 135 of Companies Act, 2013: Yes

(ii) Turnover- ₹ 7,293.86 Crore *

(iii) Net worth - ₹ 9,954.82 Crore *

* pertains to the financial year 2021-22

VII. Transparency and Disclosures Compliances

22. Complaints/Grievances on any of the principles (Principles 1 to 9) under the National Guidelines on Responsible Business Conduct:

Stakeholder group from whom complaint is received	Grievance Redressal Mechanism in Place (Yes/ No) (If yes, then provide web-link for grievance redress policy)	FY 2022-23			FY 2021-22		
		Number of complaints filed during the year	Number of complaints pending resolution at close of the year	Remarks	Number of complaints filed during the year	Number of complaints pending resolution at close of the year	Remarks
Communities	Yes (https://www.cesc.co.in/storage/uploads/policies/Stakeholder%20engagement%20policy.pdf)	-	-	None	-	-	None
Investor (other than shareholders)	N.A.	-	-	None	-	-	None
Shareholders	Yes (https://www.cesc.co.in/storage/uploads/policies/Stakeholder%20engagement%20policy.pdf)	6	0	None	13	0	None
Employees and workers	Yes (https://www.cesc.co.in/storage/uploads/policies/Stakeholder%20engagement%20policy.pdf)	7	0	None	-	-	None
Customers	Yes (https://www.cesc.co.in/storage/uploads/policies/Customer%20Policy.pdf)	1111	15	None	922	13	None
Value chain partners	Yes (https://www.cesc.co.in/storage/uploads/policies/Stakeholder%20engagement%20policy.pdf)	-	-	None	-	-	None
Other (please specify)	N.A.						

N.A. - Not Applicable

23. Overview of the entity's material responsible business conduct issues.

Please indicate material responsible business conduct and sustainability issues pertaining to environmental and social matters that present a risk or an opportunity to your business, rationale for identifying the same, approach to adapt or mitigate the risk along-with its financial implications, as per the following format:

S. No.	Material issue identified	Indicate whether risk or opportunity (R/O)	Rationale for identifying the risk/opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
1	Climate Change	Risk and Opportunity	- Meeting the statutory compliances. - Increasing fuel prices due to geo-political factors and depletion of natural reserves. - Building resilience to physical risks including cyclones, thunderstorms, and floods.	- Enhancing energy efficiency through implementation of latest technologies and adopting concepts of Green Building. - Implementing digitalisation solutions by adoption of cutting-edge technology for cutting down fuel and paper use. - Reducing T&D losses. - Demand side management, subject to regulatory directions - Implement standard operating procedures for pre, during and post disaster activities. - Integration of renewable energy. - Enhance use of Electric Vehicles. - Use of biomass as alternative fuel at generation stations.	- Reduces operating expenses and carbon emissions. - Increased capital expenditure in short term. - Regulatory Implications by way of fines and penalties.
2	Water Management	Risk	Addressing water stress through judicious use of water as a resource.	- Optimising water consumption and recycling of water at the plants. - Aiming to make all facilities sourcing freshwater, zero liquid discharge. - Green buildings and Green substations	- Reduces operational costs due to reduced water consumption. - Non-compliance resulting in fines / penalties.
3	Environment Management	Risk	Implementing mechanism for building operational resilience in line with the changing environmental implications for pollution prevention and waste management.	- Focus on digitalisation. - Optimised resource use through reuse, reduce and recycle. - Conservation of natural habitats. - Continuous air quality monitoring across all facilities.	- Reduces operating expenses. - Punitive measures from regulatory bodies for non-compliance.

S. No.	Material issue identified	Indicate whether risk or opportunity (R/O)	Rationale for identifying the risk/ opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
4	Community Development	Opportunity	Building a formidable relationship with the communities among which the Company operates by promoting an inclusive growth of the community.	- Identification of vulnerable communities. - Undertaking community need assessment. - Selection of implementing partner. - Baseline survey. - Project implementation. - Project monitoring and evaluation. - Social impact assessment.	- Reduces risk of community unrest. - Indirect positive impact on financials through reputational/ brand image. - Enhancement of community well-being through skill development, education, healthcare and addressing environment concerns.
5	Human Rights	Risk	Respecting and protecting human rights is the Company's fundamental responsibility.	- Compliance to Human Resource Policy and the new labour codes as applicable. - Internal audit of documents pertaining to Labour laws.	Penal or disciplinary actions by regulatory/legal bodies.
6	Workforce Welfare	Opportunity	- Managing disputes with employees and workers peacefully. - Fostering the Company's social performance as an attractive employer.	Engaging with union representatives and committees and addressing their concerns through long term settlements.	Reduces hiring and training costs.
7	Occupational Health and Safety	Risk	Prevention of work-related injuries and ill health through provision of safe and conducive work environment.	- Implementing safety and occupational health standards. - Engaging with all stakeholders on safety practices on a continuous basis and ensuring safety discipline among employees.	- Punitive actions by regulators. - Increased operational costs for rewards and recognition to encourage safety adherence.

S. No.	Material issue identified	Indicate whether risk or opportunity (R/O)	Rationale for identifying the risk/ opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
8	Public Safety	Risk	Risk of electrical hazards and inconveniences in public spaces.	- Ensuring all potential hazards reported or monitored are promptly addressed. - Ensuring Safety protocol and adherence to Safe Working Procedures (SWPs) & SOPs during Installation and Maintenance Activities. - Ensuring full safety and strict access control of plants and equipment located in public places. - Delivering effective awareness programmes on safe handling of electricity at the consumer's end.	- Increased operational costs for: - Maintenance activity. - Public awareness build-up programmes. - Regulatory implication in the form of fines/ penalties.
9	Responsible Supply Chain	Risk	Ensuring suppliers are compliant with the applicable laws and regulations is essential for business continuity.	Integrating relevant ESG aspects within the supplier evaluation and assessment exercise.	Increased operational costs due to disruption in supply chain.
10	Customer Focus	Risk and Opportunity	Upholding customer trust by maintaining transparency and ensuring their satisfaction is key to business growth.	- Enhancing customer engagement channels to capture customer feedback and increase their satisfaction levels. - Introduction of multiple customer payment channels for the ease of customers. - Implementation of condition monitoring tools and equipment to reduce outages. - Implementation of Intelligent Outage Management System for quick recovery during faults.	- Reduces operational expenses through better customer satisfaction and outage management. - Punitive measures by regulatory authorities.
11	Energy Access	Risk	- Ensuring energy access to all sections of the society. - Making energy access to new applicants on priority basis.	Fulfilling new connection (Loop Connection) requests for consumers within 24 hours subjected to compliance (internal target stiffer than regulatory TAT).	Punitive measures by regulatory authorities.

S. No.	Material issue identified	Indicate whether risk or opportunity (R/O)	Rationale for identifying the risk/opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
12	Data Privacy	Risk	Enhancement in dependency on reliance on digital tools and applications increases the vulnerability of potential cyber-attacks and associated digital risks.	- Implementation of cybersecurity policy. - Undertaking cybersecurity assessments through Computer Emergency Response Team (CERT-in) empanelled assessors. - Implementation of Unified Compliance Management System (ISO 27001:2013).	Loss of personal and customer data can result in penalties and negatively impact trust of stakeholders.
13	Innovation Management	Opportunity	Creating newer development of digital platforms and solutions for customer and employee simplicity across departments.	- Collaboration with stakeholders to identify and explore new opportunities. - Invest in adoption and absorption of new technologies.	Increase in margins due to reduction in operating expenses.

SECTION B: MANAGEMENT AND PROCESS DISCLOSURES

Disclosure Questions	P1	P2	P3	P4	P5	P6	P7	P8	P9
Policy and management process									
1. a. Whether your entity's policy / policies cover each principle and its core elements of the NGRBCs. (Yes/No)	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
b. Has the policy been approved by the Board? (Yes/No)	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
c. Web Link of the Policies, if available	https://www.cesc.co.in/policies								
2. Whether the entity has translated the policy into procedures. (Yes / No)	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
3. Do the enlisted policies extend to your value chain partners? (Yes/ No)	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
4. Name of the national and international codes / certifications/labels/ standards (e.g. Forest Stewardship Council, Fairtrade, Rainforest Alliance, Trustee) standards (e.g. SA 8000, OHSAS, ISO, BIS) adopted by your entity and mapped to each principle.		ISO 9000: 2015	ISO 45001: 2018			- ISO 14001: 2015 - ISO 50001: 2018 - LEED and IGBC Green Building Certification			
5. Specific commitments, goals and targets set by the entity with defined timelines, if any.	The Company has developed internal targets which are being measured and monitored annually in line with all the principles.								
6. Performance of the entity against the Specific commitments, and targets along-with reasons in case the same are not met.	The Company's endeavour to achieve the set internal targets is on track.								

Disclosure Questions	P1	P2	P3	P4	P5	P6	P7	P8	P9
Governance, leadership, and oversight									
7. Statement by director responsible for the business responsibility report, highlighting ESG related challenges, targets, and achievements	BRSR is an effective compliance and communication tool for a company's non-financial disclosures. The objective of the Business Responsibility and Sustainability Report (BRSR) report is to link a company's financial outcomes with its ESG (Environmental, Social, and Governance) performance. This can facilitate a more accurate assessment of the business's overall stability, development, and sustainability for regulators, investors, and other relevant stakeholders. 'Sustainability' is the most recent addition to our Core Values. It has always been a driving force for ensuring long-term value creation and is deeply embedded into our way of doing business. This lays down the foundation of our strategies for powering a sustainable future. As a responsible business, our business strategies are formulated taking into consideration your diverse viewpoints to positively impact our people, planet and society while generating profit. During the year, the Company has achieved many new heights in delivering long term value to its stakeholders, which we feel proud to mention in line with our 2030 targets and commitments. In upholding our commitment to meet the nation's ambitions towards Net Zero, we have embraced the 4D approach which encompasses digitalisation, decarbonisation, decentralisation and disaster management. We have put in plans to phase down fossil fuel consumption in every respect of our operations from electricity generation to movement of our operational fleet. All our offices, administrative buildings and substations will operate on green building principles to supplement the decarbonisation process through energy efficiency measures. During the year, the Company is proud to disclose the incorporation of 4 new green buildings increasing the portfolio to 8 green buildings during the reporting period. We are aggressively increasing our renewable energy storage capacity to accommodate the increase in renewable energy share in the energy mix. We have not only commissioned our first microgrid but also entered into open access agreements with large renewable energy generators to make our network not only green but also resilient. While we remain resilient and progressive in our approach towards environmental benefit, we take pride in our achievements towards our social commitments. We have once again been proclaimed as one of the Great Places to Work by virtue of our unflinching determination for promoting a diverse and inclusive work environment and creating unique and fulfilling career opportunities. We strengthened our relationship with the community through multipronged interventions in the thematic areas of health, education, skill development, natural resource management, environmental and sustainability. This has enabled us to impact more than 23,270 beneficiaries during the reporting period. I hereby thank all our stakeholders for demonstrating good faith in our endeavours. This has been a great source of motivation for us to perform to the best of our abilities and to ensure that we continue offering our services seamlessly. We look forward to your continued support and insights to benchmark ourselves with the best practices in the area of sustainability.								
8. Details of the highest authority responsible for implementation and oversight of the Business Responsibility policy (ies).	Name: Rabi Chowdhury Designation: Managing Director (Generation) and member of CSR Committee								
9. Does the entity have a specified Committee of the Board/ Director responsible for decision making on sustainability related issues? (Yes / No). If yes, provide details.	Yes. The CSR Committee of the Board of Directors is responsible for decision making on sustainability related issues.								
	DIN	Name				Designation			
	00074796	Dr. Sanjiv Goenka				Chairman (Non-Executive Director)			
	00005684	Mr. Chandra Kumar Dhanuka				Member (Independent Director)			
	06601588	Mr. Rabi Chowdhury				Member [Managing Director (Generation)]			

Disclosure Questions			P1		P2		P3		P4		P5		P6		P7		P8		P9	
10. Details of Review of NGRBCs by the Company:																				
Subject for Review		Indicate whether review was undertaken by Director / Committee of the Board/ Any other Committee									Frequency (Annually/ Half yearly/ Quarterly/ Any other – please specify)									
		P1	P2	P3	P4	P5	P6	P7	P8	P9	P1	P2	P3	P4	P5	P6	P7	P8	P9	
Performance against above policies and follow up action		CSR Committee of the Board and senior management of the Company.									Annually									
Compliance with statutory requirements of relevance to the principles, and rectification of any non-compliances		CSR Committee of the Board and senior management of the Company.									Annually									
11. Has the entity carried out independent? assessment/ evaluation of the working of its policies by an external agency? (Yes/No). If yes, provide name of the agency.			P1		P2		P3		P4		P5		P6		P7		P8		P9	
			No		No		No		No		No		No		No		No		No	

12. If answer to question (1) above is "No" i.e. not all Principles are covered by a policy, reasons to stated:

Questions	P1	P2	P3	P4	P5	P6	P7	P8	P9
The entity does not consider the Principles material to its business (Yes/No)	N.A.								
The entity is not at a stage where it is in a position to formulate and implement the policies on specified principles (Yes/No)									
The entity does not have the financial or/ human and technical resources available for the task (Yes/No)									
It is planned to be done in the next financial year (Yes/No)									
Any other reason (please specify)									

N.A. - Not Applicable

SECTION C: PRINCIPLE WISE PERFORMANCE DISCLOSURE

Principle 1: Businesses should conduct and govern themselves with integrity, and in a manner that is Ethical, Transparent and Accountable.

Essential Indicators

1. Percentage coverage by training and awareness programmes on any of the principles during the Financial Year:

Segment	Total number of training and awareness programmes held	Topics / principles covered under the training and its impact	%age of persons in respective category covered by the awareness programmes
Board of Directors	1	Familiarisation was provided on key aspects covered under the 9 principles prescribed under the National Guidelines on Responsible Business Code and its relevance to business and other stakeholders to provide effective oversight on the implementation of policies, procedures, and targets with respect to ESG.	100%

Segment	Total number of training and awareness programmes held	Topics / principles covered under the training and its impact	%age of persons in respective category covered by the awareness programmes
Key Managerial Personnel	5	Familiarisation was provided on key aspects covered under the 9 principles prescribed under the National Guidelines on Responsible Business Code and its relevance to business and other stakeholders to develop effective risk management strategies for mitigation.	100%
Employees other than BoD and KMPs	5	Familiarisation was provided on key aspects covered under the 9 principles prescribed under the National Guidelines on Responsible Business Code and its relevance to business and other stakeholders were informed about their duties in adherence to the Company's commitment and ensure effective implementation of the policies and programmes	4%
Workers	-	-	-

2. Details of fines / penalties /punishment/ award/ compounding fees/ settlement amount paid in proceedings (by the entity or by directors / KMPs) with regulators/ law enforcement agencies/ judicial institutions, in FY 2022-23.

Monetary					
	NGRBC Principle	Name of the regulatory/ enforcement agencies/ judicial institutions	Amount (In INR)	Brief of the Case	Has an appeal Been preferred? (Yes/No)
Penalty/ Fine			Nil		
Settlement					
Compounding fee					

Non-monetary				
	NGRBC Principle	Name of the regulatory/ enforcement agencies/ judicial institutions	Brief of the Case	Has an appeal been preferred? (Yes/No)
Imprisonment				
Punishment				

3. Of the instances disclosed in Question 2 above, details of the Appeal/ Revision preferred in cases where monetary or non-monetary action has been appealed.

There have been no cases registered by the entity or by Directors/KMPs which resulted in fines/penalties/ punishment/ award/compounding fees/settlement amount paid in proceedings with regulators/law enforcement agencies/judicial institutions, in the reporting year.

Case Details	Name of the regulatory/ enforcement agencies/ judicial institutions
N.A.	

N.A. - Not Applicable

4. Does the entity have an anti-corruption or anti-bribery policy? If yes, provide details in brief and if available, provide a web-link to the policy.

Yes.

The Company's Anti-Corruption and Anti-Bribery Policy intends to ensure adherence to the highest ethical standards in all its business operations. The Policy facilitates the detection and reporting of possible breaches by employees, agents, representatives, vendors, and business partners. The concerned stakeholders of the policy are empowered through the Company's Vigil Mechanism to report instances of any irregularity, unethical, illegal practice and/or misconduct.

The Policy takes into consideration all the applicable local laws and further enables them to identify and effectively report a potential breach.

The Policy also outlines the outcome of any breach of the Policy in the form of disciplinary action, which even includes termination of employment of employees and the immediate termination of any vendor or business partner arrangements.

The Company has a "zero tolerance" Policy towards bribery.

The Anti-Corruption and Anti-Bribery Policy is available on the Company's website and can be accessed at <https://www.cesc.co.in/storage/uploads/policies/Anti%20Corruption%20Anti%20Bribery%20Policy.pdf>

5. Number of Directors/KMPs/employees/workers against whom disciplinary action was taken by any law enforcement agency for the charges of bribery/ corruption:

	FY 2022-23	FY 2021-22
Directors	None	None
KMPs		
Employees		
Workers		

6. Details of complaints with regard to conflict of interest:

	FY 2022-23		FY 2021-22	
	Number	Remarks	Number	Remarks
Number of complaints received in relation to issues of Conflict of Interest of the Directors	Nil	None	Nil	None
Number of complaints received in relation to issues of Conflict of Interest of the KMPs	Nil	None	Nil	None

7. Provide details of any corrective action taken or underway on issues related to fines/penalties / action taken by regulators/ law enforcement agencies/ judicial institutions, on cases of corruption and conflicts of interest.

There has been no fines/penalties/action levied/taken by regulators/law enforcement agencies/judicial institutions, on cases of corruption and conflicts of interest.

Leadership Indicators

1. Awareness programmes conducted for value chain partners on any of the principles during the financial year:

Total number of awareness programmes held	Topics / principles covered under the training	%age of value chain partners covered (by value of business done with such partners) under the awareness programmes
1	Familiarisation was provided on key aspects covered under the 9 principles prescribed under the National Guidelines on Responsible Business Code and its relevance to the Company's value chain partners.	10.1 %

2. Does the entity have processes in place to avoid/ manage conflict of interests involving members of the Board? (Yes/ No) If Yes, provide details of the same.

The Board of Directors of the Company are governed by Code of Business Conduct and Ethics which has laid out the provisions on conflict of interest. The Code of Conduct is also applicable to all KMPs and Senior Management. They in turn, further incorporate the Code of Conduct in their respective verticals and departments, enabling the Code to cascade down to all the other levels of employees. The mentioned code can be accessed at <https://www.cesc.co.in/storage/uploads/sustainability/Code-of-Conduct.pdf>

Principle 2: Businesses Should Provide Goods And Services In A Manner That Is Sustainable And Safe.

Essential Indicators

1. **Percentage of R&D and capital expenditure (capex) investments in specific technologies to improve the environmental and social impacts of product and processes to total R&D and capex investments made by the entity, respectively.**

	FY 2022-23	FY 2021-22	Details of improvements in environmental and social impacts
R&D	100%	Nil	Investments in natural resource efficiency and environmental efficiency
Capex	84.12%	82.20%	Initiatives and projects around energy efficiency, energy conservation, waste management, water management and employee safety.

2. a. Does the entity have procedures in place for sustainable sourcing? (Yes/No)

Yes.

- b. If yes, what percentage of inputs were sourced sustainably?

The Company has incorporated a Supplier Due Diligence process which screens every supplier on various social, environmental and compliance parameters.

The suppliers are assessed by our internal process audit teams on a periodic basis. Process audit teams have been trained to undertake physical inspection of supplier facility, verify documents, assess suppliers based on the Supplier Assessment Questionnaire and monitor the status of corrective actions taken in the next audit.

Suppliers are categorised under Gold, Silver, and Bronze categories basis the score received.

The criteria for being categorised as a Gold, Silver or Bronze supplier are as follows:

Gold (Performance score 80-100): Gold ratings signifies the supplier maintains a high level of compliance with the Standards and Policy and will need to undertake audit once in three years.

Silver (Performance score 60-79): Silver ratings signifies that the supplier meets general compliance of the standard and Policy, and proactive measures are required through implementation of best practices to meet CESC's business goals. These suppliers will be audited once in two years to monitor progress.

Bronze (Performance score <60): Bronze ratings signify the supplier does not meet compliance requirements for majority of the parameters, however CESC will continue to source while these compliances are remediated within a given timeline. These suppliers will be audited once in a financial year.

Every year the Company aims to increase the coverage of this exercise for a greater number of suppliers. All procurement from the suppliers categorised under the Gold category are deemed to be sustainably sourced.

During the reporting period the Company carried out due diligence exercise for 26 distinct suppliers, of which 9 suppliers achieved the Gold ratings. The Company has sourced 1.6% of inputs sustainably and responsibly.

3. Describe the processes in place to safely reclaim your products for reusing, recycling and disposing at the end of life, for (a) Plastics (including packaging) (b) E-waste (c) Hazardous waste and (d) other waste.

Plastics (including packaging)	The Company is not in the business of using plastic waste for packaging of manufactured products or in distribution of its services.
E-waste	The Company is not in the business of electronic consumer goods. However, the E-waste produced during the office operations is sold to the recyclers authorised by State Pollution Control Boards.
Hazardous waste	The hazardous waste generated in the facilities, is sold to the registered recyclers or disposers having permissions from State Pollution Control Boards.
other waste	The non- hazardous waste generated is disposed through the registered vendors. The biodegradable waste is converted into compost.

4. Whether Extended Producer Responsibility (EPR) is applicable to the entity's activities (Yes / No). If yes, whether the waste collection plan is in line with the Extended Producer Responsibility (EPR) plan submitted to Pollution Control Boards? If not, provide steps taken to address the same.

Extended Producer Responsibility is currently not applicable to CESC's activities.

Leadership Indicators

1. Has the entity conducted Life Cycle Perspective/Assessments (LCA) for any of its products (for manufacturing industry) or for its services (for service industry)? If yes, provide details in the following format?

NIC Code	Name of Product / Service	% of total Turnover contributed	% of total Turnover contributed	Whether conducted by independent external agency (Yes/No)	Results communicated in public domain (Yes/ No) If yes, provide the web-link.
The Company is yet to conduct life cycle assessment of its service.					

2. If there are any significant social or environmental concerns and/or risks arising from production or disposal of your products / services, as identified in the Life Cycle Perspective/Assessments (LCA) or through any other means, briefly describe the same along with action taken to mitigate the same.

Name of Product / Service	Description of the risk / concern	Action Taken
N.A.		

N.A. - Not Applicable

3. Percentage of recycled or reused input material to total material (by value) used in production (for manufacturing industry) or providing services (for service industry).

Indicate input material	% Recycled or re-used input material to total material	
	FY 2022-23	FY 2021-22
Transformer oil	34.75	50.17

4. Of the products and packaging reclaimed at end of life of products, amount (in metric tonnes) reused, recycled, and safely disposed, as per the following format:

Stakeholder group from whom complaint is received	FY 2022-23			FY 2021-22		
	Reused	Recycled	Safely disposal	Reused	Recycled	Safely disposal
Plastic waste	N.A.					
e-waste						

N.A. - Not Applicable

5. Reclaimed products and their packaging materials (as percentage of products sold) for each product category.

Not Applicable

Principle 3: Businesses should respect and promote the well-being of all employees, including those in their value chains.

Essential Indicators

1. a. Details of measures for the well-being of employees:

% of employees covered by											
Category	Total A	Health insurance		Accident insurance		Maternity benefits		Paternity benefits		Day care facilities	
		No. B	% (B/A)	No. C	% (C/A)	No. D	% (D/A)	No. E	% (E/A)	No. F	% (F/A)
Permanent Employees*											
Male	5966	5966	100%	5966	100%	NA	NA	0	0%	0	0%
Female	503	503	100%	503	100%	503	100%	0	0%	0	0%
Total	6469	6469	100%	6469	100%	503	7.78%	0	0%	0	0%
Other than Permanent Employees*											
Male	Nil	N.A.									
Female											
Total											

N.A. - Not Applicable

*Includes all workforce under the payroll of CESC

2. Details of retirement benefits, for Current FY and Previous Financial Year.

Benefits	FY 2022-23			FY 2021-22		
	No. of employees covered as a % of total employees	No. of workers covered as a % of total workers	Deducted and deposited with the authority (Y/N/N.A.)	No. of employees covered as a % of total employees	No. of workers covered as a % of total workers	Deducted and deposited with the authority (Y/N/N.A.)
PF	100%	-	Y	100%	-	Y
Gratuity	100%	-	N.A.	100%	-	N.A.
ESI	Exempted	-	N.A.	Exempted	-	N.A.
Others- Leave Encashment	100%	-	N.A.	100%	-	N.A.
Others- Post Retiral Medical Benefits	100%	-	N.A.	100%	-	N.A.

N.A. - Not Applicable

3. Accessibility of workplaces

Are the premises / offices of the entity accessible to differently abled employees and workers, as per the requirements of the Rights of Persons with Disabilities Act, 2016?

Yes, most of the Company's establishments are accessible to the differently abled. For easy commute and movements within the Company's locations, wheelchair facilities are available along with ramp structures.

4. Does the entity have an equal opportunity policy as per the Rights of Persons with Disabilities Act, 2016? If so, provide a web-link to the policy.

The Company has developed an Employee Welfare Policy which commits towards creating and maintaining a fair, safe, healthy, nurturing, and vibrant work environment, across all its operations. The Policy ensures that all facilities are accessible to differently abled employees and workers, as per the requirements of the Rights of Persons with Disabilities Act, 2016

As an equal opportunity employer CESC ensures all employees from the time of hiring and induction as well as throughout the course of employment till the time of separation are treated without any biasness irrespective of gender, caste, creed, colour, religion, disability, or sexual orientation. CESC has been recognised as one of the Great Places to Work for the last three consecutive years owing to the Company's determined steps in promoting a diverse and inclusive work culture.

The Employee Welfare Policy is available on the Company's website and can be accessed at <https://www.cesc.co.in/storage/uploads/policies/Employee%20Welfare%20Policy.pdf>

5. Return to work and Retention rates of permanent employees and workers that took parental leave.

Category	Permanent employees		Permanent workers	
	Return to work rate	Retention rate	Return to work rate	Retention rate
Male	N.A.	N.A.	N.A.	N.A.
Female	100%	100%	100%	100%
Total	100%	100%	100%	100%

N.A. - Not Applicable

6. Is there a mechanism available to receive and redress grievances for the following categories of employees and worker? If yes, give details of the mechanism in brief.

	Yes/No (If Yes, then give details of the mechanism in brief)
Permanent employees	Yes. CESC has deployed a structured grievance redressal process, which is based on the principle of 'prevention is better than cure' to address human rights concerns and to satisfactorily resolve them. All leaders in CESC, including the Managing Director, maintain an open and transparent communication, whereby anybody can approach them to discuss issues and raise grievances. An online portal, Leadership Connect is in place which provides a platform for all Executives to directly interact with the members of the Top Leadership team, including MDs, regarding their queries, ideas, and grievances. Grievances of all non-covenant staff are dealt formally by the Industrial Relations personnel at respective sites through the three-tier grievance redressal mechanism as mentioned below: - As soon as a Grievance is generated and lodged, it is handled by the Supervisor/Line officer at the shop floor level and resolved. Tier 1 - In case a grievance remains unresolved at the shop floor level, the same is escalated to the Line Manager of the department to which the aggrieved employee(s) belongs and is handled jointly along with departmental IR officer/Engineer. - If unresolved, the Line Manager solicits intervention of the Unit IR official and jointly deals with the issue for resolution. - If the issue is major and collective in nature, the same is intervened by the Unit Head, functionally looking after administration who deals with the issue jointly with unit IR official and Line Manager of the department. Tier 2 - If the same still remains unresolved at unit level, it is referred to divisional headquarter for intervention. Tier 3 - In case of issue remaining still unresolved, it is referred to Central/ Corporate IR, where the issue is discussed /negotiated with the central leadership of the sole bargaining union to arrive at an amicable resolution/settlement. Upon following all the three tiers as mentioned above, if the issue is still pending resolution, it follows the usual dispute settling route of Conciliation, if required, followed by Adjudication. Issues related to sexual harassment are resolved through a separate Internal Complaints Committee (ICC), which is headed by a female Executive Director and comprises of seven members from various facets of the organisation and an external member having commensurate experience.
Other than permanent employees	
Permanent workers	
Other than permanent workers	

7. Membership of employees and worker in association(s) or Unions recognised by the listed entity:

Category	FY 2022-23			FY 2021-22		
	Total employees / workers in respective category (A)	No. of employees / workers in respective category, who are part of association(s) or Union (B)	% (B/A)	Total employees / workers in respective category (C)	No. of employees / workers in respective category, who are part of association(s) or Union (D)	% (D/C)
Total Permanent Employees	6469	6108	94.41%	6920	5966	86.21%
Male	5966	5724	95.94%	6419	5617	87.50%
Female	503	384	76.34%	501	349	69.66%

8. Details of training given to employees and workers:

Category	FY 2022-23					FY 2021-22				
	Total A	On health & safety measures		On skill upgradation		Total D	On health & safety measures		On skill upgradation	
		No. (B)	% (B/A)	No. (C)	No. (B)		No. (E)	% (E/D)	No. (F)	% (F/D)
Total										
Male	5966	1800	30.17 %	3277	54.92%	6419	630	9.81%	1221	19.02%
Female	503	4	0.8%	171	34%	501	6	1.20%	101	20.15%
Total	6469	1804	27.88%	3448	53.30%	6920	636	9.19%	1322	19.10%

9. Details of performance and career development reviews of employees and worker:

Category	FY 2022-23			FY 2021-22		
	Total (A)	No. (B)	% (B/A)	Total (C)	No. (D)	% (D/C)
Total						
Male	5966	1426	23.90%	6419	1665	25.94%
Female	503	207	41.15%	501	241	48.10%
Total	6469	1630	25.19%	6920	1906	27.54%

10. Health & safety management system

- a) Whether an occupational health and safety management system has been implemented by the entity? (Yes/No). If yes, the coverage such system?

Yes, the Company has implemented the Occupational Health & Safety Management System (ISO 45001) across the Distribution and Generation business operations. At CESC, health and safety measures of the highest standards are ensured at the workplace through the Corporate Safety Manual and Corporate Safety Policy along with the seven sets of Internal Safety Standards namely 'Confined Space Entry', 'Working at Height', 'Electrical Safety', 'Permit to Work', 'Safety Observation', 'Incident Investigation' and 'Material Handling', which are aligned with the requirements of ISO 45001.

The Company has undertaken periodic assessments for the effective implementation of the occupational health and safety management system.

Regular trainings programmes, mock drills and fire drills are scheduled to inform and make the employees aware of the occupational health and safety management system.

- b) What are the processes used to identify work-related hazards and assess risks on a routine and non-routine basis by the entity?

Regular Hazard Identification and Risk Assessments (HIRA) and Job Safety Analysis (JSA) for routine and non-routine jobs are conducted, based on which risks are identified, assessed, and classified as high, moderate, and acceptable, after which risk control and minimisation measures are implemented to bring down the risk index within the acceptable limit. This process considers the root cause analysis from the incident investigation reports, safety rules violation identification through site safety audits, unsafe acts observed during safety observations and recommendations from external experts.

c) **Whether you have processes for workers to report the work-related hazards and to remove themselves from such risks. (Y/N)**

Yes, the Company has system and process in place for employees and workers to report work related hazards. Employees and workers can report unsafe acts and work-related hazards using android based application and provide their suggestions on the "Click to Safety" online portal. These processes ensure minimisation of risks related to work related hazards.

d) **Do the employees have access to non-occupational medical and healthcare services? (Yes/ No)**

Yes, the Company provides medical insurance and hospitalisation facilities for officers and their family members. In-house medical facility with free OPD treatment and free medicines from partner chemist shops are also available. The Company also has a reimbursement policy for the cost incurred for spectacles and artificial dentures.

Additionally, a Family Medical Benefit Scheme for serving employees, spouse and two dependent children as well as the retired employees and their spouses is in place, which in the event of death of an employee, his/her spouse will continue to enjoy the benefit of medical coverage.

The Company also conducts regular health check-ups of all its employees. The Company also undertakes electro hystorography for vertigo testing cardiovascular risk monitoring, bone mineral density testing, eye and dental check-up camps, orthopaedic camp, diabetic camp, cardiac camp, and snake bite workshop.

11. **Details of safety related incidents, in the following format:**

Safety Incident/Number	Category	FY 2022-23	FY 2021-22
Lost Time Injury Frequency Rate (LTIFR) (per one Million-person hours worked)	Employees	1.30	2.12
Total recordable work-related injuries	Employees	21	33
No. of fatalities	Employees	0	2
High consequence work-related injury or ill-health (excluding fatalities)	Employees	0	0

12. **Describe the measures taken by the entity to ensure a safe and healthy workplace.**

CESC is committed towards ensuring the highest standards of health and safety at the workplace, which is operationalised through the 'development and dissemination of the Corporate Safety Manual and the Corporate Safety Policy with the seven sets of Internal Safety Standards namely 'Confined Space Entry', 'Working at Height', 'Electrical Safety', 'Permit to Work', 'Safety Observation', 'Incident Investigation' and 'Material Handling'. All the internal safety standards which are aligned with the requirements of ISO 45001.

The effectiveness in the implementation of safety management system is ensured through:

- Physical verification of system implementation through safety cell.
- External audits as per requirement for certification/re-certification.
- Review of safety performance and the effective implementation of the policies/ standards by the Apex Safety Committee comprising of the Managing Director (Distribution), Managing Director (Generation) and the Executive Director (HR & Admin).
- Inducing a safety culture by motivating and encouraging employees to provide suggestions to improving safety performance.
- Site safety observations by department officers.
- Conducting safety awareness and safety perception survey.
- Continuous improvement of health and safety performance by addressing electrical safety, fire safety, working at height through modification of procedures, technology upgradation and leveraging digitalisation.

13. Number of Complaints on the following made by employees and workers:

	FY 2022-23			FY 2021-22		
	Filed during the year	Pending resolution at the end of year	Remarks	Filed during the year	Pending resolution at the end of year	Remarks
Working Conditions	2	0	None	0	0	None
Health and safety	0	0	None	0	0	None

14. Assessments for the year:

	% of your plants and offices that were assessed (by entity or statutory authorities or third parties)
Working Conditions	100%
Health and safety	

15. Provide details of any corrective action taken or underway to address safety-related incidents (if any) and on significant risks / concerns arising from assessments of health & safety practices and working conditions.

For all significant risks / concerns identified, proper root-cause analysis is carried out, based on which suggested mitigation measures and interventions have been implemented. The best resources and efforts available are incorporated to eliminate such situations.

Behaviour based safety amongst employees of the organisation has been started by imparting training for different sections of employees. Apart from this safety observations, EHS committee meetings, departmental safety meetings, safety day observation, deploying safety monitors, monthly safety rewards etc. are already in practice to monitor and mitigate safety related issues.

Appropriate corrective actions have been implemented during the financial year based upon the assessments at various establishments in Generation and Distribution divisions as given hereunder:

- Introduction of 6-way shorting clip for MV OH lines to ensure proper earthing.
- Introduction of Telescopic Voltage Test Cum Earth Rod to minimise hazards for working at height.
- Introduction of RCBO fitted Extension Board to eliminate electric shock injury during work.
- Introduction of Unit Guard Separator Plate for electrical safe zone creation.
- Use of fire-retardant jacket for mitigation of burn injury due to electric flashover.
- Helmets fitted with Live Line Detectors (LLD) for work near live lines.
- Designing and customisation of low and medium height trolley at outdoor yards as per the requirement of departments to bring down the risk of work at height.
- Installation of hydraulically operated truck loader to facilitate loading/ unloading of gas cylinders.
- Provision of inflatable light for Emergency work.
- Implementation of representing SWP for critical jobs in a pictorial format.
- Safety training including behavioural safety aspects, classroom as well as practical and on job trainings, especially on critical activities for Officers, Supervisors and Workmen (both Permanent as well as Contractual).
- Introduction of Android-based App - SWAPP for registering of Unsafe Act/ Condition, Near Miss and taking necessary actions.
- Google Form for Safety Observations by officers/ safety officers.
- Unified Portal for reporting Safety Observation by officers and taking corrective action.
- Implementation of portable fire water pump.
- Fire Drills at all major establishments at regular intervals for management of fire related crisis situations and Mock Fire Evacuation Drill at identified office premises under supervision of external experts.
- Re-commissioning of the old Transformer Yard Emulsifier Annunciation system.
- Installation of forced fresh air circulation system (ventilation) for the air-conditioned rooms.
- IR sensor-based touchless operating switches for lifts.

Leadership Indicators

1. Does the entity extend any life insurance or any compensatory package in the event of death of (A) Employees (Y/N) (B) Workers (Y/N).

Yes, all the employees are covered for applicable Life Insurance benefits

2. Provide the measures undertaken by the entity to ensure that statutory dues have been deducted and deposited by the value chain partners.

In all contractual obligations with value chain partners, statutory dues such as PF are deducted and paid accordingly within the due dates. Specific contractual obligations are provided for such adherences as mentioned in the contract.

3. Provide the number of employees / workers having suffered high consequence work-related injury / ill-health / fatalities (as reported in Q11 of Essential Indicators above), who have been are rehabilitated and placed in suitable employment or whose family members have been placed in suitable employment:

No cases of high consequence work-related injury / ill-health / fatalities were recorded during the reporting period.

4. Does the entity provide transition assistance programs to facilitate continued employability and the management of career endings resulting from retirement or termination of employment?

The Company has a post-retirement medical insurance up to 15 years for employee and their spouse. However, there is no provision for continued employability on the event of retirement or termination at present.

5. Details on assessment of value chain partners:

	% of value chain partners (by value of business done with such partners) that were assessed
Health and safety practices	1.6%
Working conditions	1.6%

6. Provide details of any corrective actions taken or underway to address significant risks / concerns arising from assessments of health and safety practices and working conditions of value chain partners.

No risk has been associated with health and safety or working conditions amongst value chain members assessed during the reporting period. No such risks have been reported as well in this financial year.

Principle 4: Businesses should respect the interests of and be responsive to all its stakeholders

Essential Indicators

1. Describe the processes for identifying key stakeholder groups of the entity.

The Company's pledge to consistently meet the needs of its stakeholders is paramount. When identifying the key stakeholder groups, CESC considers their dependency, immediacy, responsibility, vulnerability, and influence in terms of the "Stakeholder Engagement Policy".

Capital-contributing shareholders are significant stakeholders. At CESC, customer value forms an integral part of the Company's growth philosophy, reflecting unwavering commitment towards the customers. CESC recognises that its employees play a critical role in creating value for both clients and the organisation, and the Company strives to provide them with fulfilling career opportunities. Moreover, CESC upholds the law of the land as an essential part of the Code of Conduct, recognising the significance of Governments and Regulators as stakeholders. Inclusivity is central to the Company's sustainable business practices, with a focus on placing the community at the heart of all endeavours. The Company treats its vendors and suppliers as its business partners and considers them as an integral part of business strategy. CESC's stakeholders include our Investors, Lenders, Regulatory Bodies, Consumers, Employees, Trade Unions, Suppliers, Local Community, Non-Government Organisations (NGOs) and Media.

2. List stakeholder groups identified as key for your entity and the frequency of engagement with each stakeholder group.

Stakeholder Group	Whether identified as Vulnerable & Marginalised Group (Yes/No)	Channels of communication (Email, SMS, Newspaper, Pamphlets, Advertisement, Community Meetings, Notice Board, Website), Other	Frequency of engagement (Annually/ Half yearly/ Quarterly / others – please specify)	Purpose and scope of engagement including key topics and concerns raised during such engagement
Investors	No	- Annual General Meeting - Grievances redressal through the Company's Secretarial team - Regular interaction with institutional Investors - Annual Report - Company website - Quarterly results - Investors' presentation - Periodic press release	- Annually - Need based	- Improved profitability and earnings per share - Dividend pay-out - Transparent disclosure - Improvements in ESG disclosure
Lenders	No	- Annual Consortium Meeting - Periodic meetings	- Annually - Need basis	- Assessment of Overdraft limit - Maintaining healthy working capital - Liquid fund position
Regulatory Bodies	No	- Periodic public advocacy - Regular lesioning	Need basis	Ensuring environmental, social and economic compliance
Consumers	No	- Regular on-call surveys for distribution service - Regular online digital survey - Regular customer awareness - Ongoing complaint redressal system	Ongoing activities	- Agile fault management - Accurate and transparent billing - Affordable solutions
Employees	No	- Communication Meetings - Townhall meetings - Interaction with MD - Annual employee opinion surveys - Employee grievance redressal mechanism - Regular interactions for celebrating days of individual, organisational, national, and international significance	- Weekly - Annually - Ongoing - Need basis	- Learning and development - Career growth opportunities - Rewards and recognition - Facilities and well-being - Health and safety at workplace - Respecting human rights
Trade Unions	No	Periodic Meetings	Need basis	- Health and safety at workplace - Respecting human rights
Suppliers	No	- Vendors meet - Regular vendor audit - Periodic vendor interactions for sampling and grievance redressal	- Annually - Need basis	- Payment cycle - Business opportunities - Capacity building of suppliers on improvements in environmental and social performance

Stakeholder Group	Whether identified as Vulnerable & Marginalised Group (Yes/No)	Channels of communication (Email, SMS, Newspaper, Pamphlets, Advertisement, Community Meetings, Notice Board, Website), Other	Frequency of engagement (Annually/ Half yearly/ Quarterly / others – please specify)	Purpose and scope of engagement including key topics and concerns raised during such engagement
NGOs/ Community	Yes	- Regular community meetings - Stakeholders Meetings - Annual beneficiary perception survey	- Quarterly - Need basis	- Academic support for underprivileged children through school and community-based initiatives - Mainstreaming of drop-out children - Early Child Care and Development including Pre-School Education - Maternal and Child Health Care and Immunisation - Social and Economic Empowerment of women and youth - Creating a clean environment
Media	No	- One on one interactions - Periodic press release and press conference	- Ongoing - Need basis	- Transparent and accurate disclosure - Brand reputation

Leadership Indicators

1. **Provide the processes for consultation between stakeholders and the Board on economic, environmental, and social topics or if consultation is delegated, how is feedback from such consultations provided to the Board.**

A Cross Functional Team (CFT) is in place who interacts and engages with the stakeholder groups by periodically communicating with them. The CFT reports to the Managing Directors, Chief Finance Officer, and Company Secretary. CFT is responsible for collecting all feedback from consultations with stakeholders and communicating the same to the Board. Based on all the interactions with all the stakeholder groups, and their perceptions on important ESG topics are accounted while, the material topics are identified for CESC. Further, the material topics are also prioritised based on the importance to the external stakeholders and the importance to business.

2. **Whether stakeholder consultation is used to support the identification and management of environmental, and social topics (Yes / No). If so, provide details of instances as to how the inputs received from stakeholders on these topics were incorporated into policies and activities of the entity.**

Yes, during the exercise of identifying material issues pertaining to the Company, the Company consults both the internal and external stakeholders to identify issues having a significant social or environmental impact on the stakeholders and its business operations. The Company also takes note of all the views and opinions of the stakeholders around the issues and incorporates the same into the framing of any policies, decision making process or business strategy.

3. **Provide details of instances of engagement with, and actions taken to, address the concerns of vulnerable/ marginalised stakeholder groups.**

The Company engages with local communities through its CSR programmes. All beneficiaries of CSR programmes are from the vulnerable/marginalised groups. The objective of the Company's CSR initiatives is upliftment of these vulnerable and marginalised stakeholders.

Before undertaking any CSR activity, the Company identifies the target beneficiary groups. Then, a needs assessment is conducted to identify the needs of the community, following which the Company appoints an implementing partner who carries out a baseline survey and implements the CSR activities. The Company closely monitors its CSR activities and evaluates their effectiveness on a regular basis.

The programmes developed are categorised under thematic areas of Education, Environmental Sustainability, Health, and Skill Development and Employment Generation.

Principle 5: Businesses should respect and promote human rights**Essential Indicators**

1. **Employees and workers who have been provided training on human rights issues and policy(ies) of the entity, in the following format:**

Category	FY 2022-23			FY 2021-22		
	Total (A)	No. of employees/ workers covered (B)	% (B/A)	Total (C)	No. of employees/ workers covered (D)	% (D/C)
Employees and Workers						
Permanent	6469	430	6.65%	6920	75	1.08%
Other than Permanent	-	-	-	-	-	-
Total Employees/Workers	6469	430	6.65%	6920	75	1.08%

2. **Details of minimum wages paid to employees and workers, in the following format:**

Category	FY 2022-23					FY 2021-22				
	Total (A)	Equal to minimum wage		More than minimum wage		Total (D)	Equal to minimum wage		More than minimum wage	
		No. (B)	% (B/A)	No. (C)	% (C/A)		No. (E)	% (E/D)	No. (F)	% (F/D)
Permanent	6469	0	0%	6469	100%	6920	0	0%	6920	100%
Male	5966	0	0%	5966	100%	6419	0	0%	6419	100%
Female	503	0	0%	503	100%	501	0	0%	501	100%
Other than permanent	-	-	-	-	-	-	-	-	-	-
Male	-	-	-	-	-	-	-	-	-	-
Female	-	-	-	-	-	-	-	-	-	-

3. **Details of remuneration/salary/wages, in the following format:**

	Male		Female	
	Number	Median remuneration / salary/ wages of respective category	Number	Median remuneration / salary/ wages of respective category
Board of Directors (BOD)*	1	₹ 6,37,75,188	-	-
Key managerial personnel**	2	₹ 3,90,67,243	-	-
Employees other than BoD and KMP	5963	₹ 10,96,756	503	₹ 7,54,490
Workers		N.A.***		

Notes:

*Does not include any payment to Non-Executive Directors.

**Excludes remuneration of Managing Director considered in BOD.

***N.A. - Not Applicable

4. **Do you have a focal point (Individual/ Committee) responsible for addressing human rights impacts or issues caused or contributed to by the business? (Yes/No)**

Yes.

The Executive Director (HR and Admin) of the Company provides the highest level of executive oversight on managing human right concerns of the employees and workers of the Company.

The rights of all categories of employees are also protected through the Joint Committee existing between Unions/ Associations and Management.

5. **Describe the internal mechanisms in place to redress grievances related to human rights issues.**

CESC has deployed a structured grievance redressal process, which is based on the principle of 'prevention is better than cure' to address human rights concerns and to satisfactorily resolve them. All leaders in CESC, including the Managing Director, maintain an open and transparent communication, whereby anybody can approach them to discuss issues and raise grievances. An online portal, Leadership Connect is in place which provides a platform for all Executives to directly interact with the members of the Top Leadership team, including two Managing Directors, regarding their queries, ideas, and grievances.

Grievances of all non-covenant staff are dealt formally by the Industrial Relations personnel at respective sites through the three-tier grievance redressal mechanism as mentioned below: -

- As soon as a Grievance is generated and lodged, it is handled by the Supervisor/Line Officer at the shop floor level and resolved.

Tier 1

- In case a grievance remains unresolved at the shop floor level, the same is escalated to the Line Manager of the department to which the aggrieved employee(s) belongs and is handled jointly along with departmental IR officer/ Engineer.
- If unresolved, the Line Manager solicits intervention of the Unit IR official and jointly deals with the issue for resolution.
- If the issue is major and collective in nature, the same is intervened by the Unit Head, functionally looking after administration who deals with the issue jointly with unit IR official and Line Manager of the department.

Tier 2

- If the same still remains unresolved at unit level, it is referred to divisional headquarter for intervention.

Tier 3

- In case of issue remaining still unresolved, it is referred to Central/Corporate IR, where the issue is discussed / negotiated with the central leadership of the sole bargaining union to arrive at an amicable resolution/settlement.

Upon following all the three tiers as mentioned above, if the issue is still pending resolution, it follows the usual dispute settling route of Conciliation, if required, followed by Adjudication.

Issues related to sexual harassment are resolved through a separate Internal Complaints Committee (ICC), which is headed by a female Executive Director and comprises of seven members from various facets of the organisation and an external member having commensurate experience.

6. Number of Complaints on the following made by employees and workers:

	FY 2022-23			FY 2021-22		
	Filed during the year	Pending resolution at the end of year	Remarks	Filed during the year	Pending resolution at the end of year	Remarks
Sexual harassment	0	0	None	1	0	None
Discrimination at workplace	0	0	None	0	0	None
Child labour	0	0	None	0	0	None
Forced labour	0	0	None	0	0	None
Wages	5	0	None	0	0	None
Other human rights related issues	0	0	None	0	0	None

7. Mechanisms to prevent adverse consequences to the complainant in discrimination and harassment cases.

The Company put in place mechanisms for Prevention of Sexual Harassment ("POSH") at workplace. It aims at prevention of harassment of employees with guidelines for identification, reporting and prevention of sexual harassment and the reporting and resolution procedure of such complaints. Issues involving sexual harassment can be addressed by writing to the Internal Complaints Committee (ICC) at icc@rpsg.in. Periodic trainings, inductions and communications familiarise the employees to the procedures to report grievances.

8. Do human rights requirements form part of your business agreements and contracts?

Yes, human rights requirements are covered in business agreements and contracts. All suppliers and contractors are required to abide by the terms and conditions prescribed in the agreement and conditions of contract.

9. Assessment of the Year

	% of your plants and offices that were assessed (by entity or statutory authorities or third parties)
Child labour	100%
Forced labour	100%
Sexual harassment	100%
Discrimination at workplace	100%
Wages	100%

10. Provide details of any corrective actions taken or underway to address significant risks / concerns arising from the assessments at Question 9 above.

CESC undertakes appropriate measures and corrective actions as per prescribed law. The Company also continuously monitor on these aspects and keep check and balances in place.

Leadership Indicators

1. Details of a business process being modified / introduced as a result of addressing human rights grievances/ complaints.

There have been no significant changes in business processes during the reporting period.

2. Details of the scope and coverage of any Human rights due diligence conducted.

The Company respects the fundamental rights of all persons associated with the organisation. The effectiveness of the mechanisms in place to manage human resources are periodically audited, which ensures compliance to applicable labour laws.

3. Is the premise/office of the entity accessible to differently abled visitors, as per the requirements of the Rights of Persons with Disabilities Act, 2016?

Yes, various establishments of the Company are accessible to the differently abled visitors. For easy commute and movements within the Company's locations, wheelchair facilities are available along with ramp structures.

The Company has also developed various digital platforms for easy access to various facilities such as services, new connection requests, ownership change, bill payments and disconnection requests. This eliminates any human interference or requirement for visitors or customers to be physically available to avail the same. The Company's digital payment avenues also helps in easy digital payments of electricity bills from any location.

4. Details on assessment of value chain partners:

	% of value chain partners (by value of business done with such partners) that were assessed
Sexual harassment	1.6%
Discrimination at workplace	1.6%
Child labour	1.6%
Forced labour/Involuntary labour	1.6%
Wages	1.6%
Others – please specify	-

5. Provide details of any corrective actions taken or underway to address significant risks / concerns arising from the assessments at Question 4 above.

No risk has been identified and/or associated with human rights violation amongst value chain members assessed during the reporting period.

Principle 6: Businesses should respect and make efforts to protect and restore the environment

Essential Indicators

1. Details of total energy consumption (in Joules or multiples) and energy intensity, in the following format:

Parameter	FY 2022-23	FY 2021-22
Total electricity consumption (A)	66,114.63 GJ	43,170 GJ
Total fuel consumption (B)	5,81,44,997.22 GJ	5,55,35,444 GJ
Energy consumption through other sources (C)	-	-
Total energy consumption (A+B+C)	5,82,11,111.85 GJ	5,55,78,614 GJ
Energy intensity per rupee of turnover (Total energy consumption/ turnover in rupees)	7,301.04 GJ/₹ Crore	7,619.9 GJ/₹ Crore

If any independent assessment/ evaluation/assurance has been carried out by an external agency?

The Company has not undertaken an independent assessment on this parameter during the reporting period.

If yes, name of the external agency.

Not Applicable.

2. Does the entity have any sites / facilities identified as designated consumers (DCs) under the Performance, Achieve and Trade (PAT) Scheme of the Government of India? If yes, disclose whether targets set under the PAT scheme have been achieved. In case targets have not been achieved, provide the remedial action taken, if any.

Budge Budge Generating Station and Southern Generating Station are identified as Designated Consumers (DC's) under ongoing PAT Scheme (PAT Cycle VII). The generating stations are required to reduce their specific energy consumption by 0.23% (BBGS) and 0.92% (SGS) respectively against their 2018-19 baseline by 2024-25.

3. Provide details of the following disclosures related to water, in the following format:

Parameter	FY 2022-23	FY 2021-22
Water withdrawal by source (in kilolitres)		
(i) Surface water	11,68,23,504	3,87,19,657
(ii) Groundwater	12,255	-
(iii) Third party water	1,56,055	16,701*
(iv) Seawater / desalinated water	-	-
(v) Others	3,148	3,148
Total volume of water withdrawal (in kilolitres) (i + ii + iii + iv + v)	11,69,94,962	3,87,39,506
Total volume of water consumption (in kilolitres)	1,19,47,580	1,16,62,257
Water intensity per rupee of turnover (Water consumed / turnover)	1498 KL/₹ Crore	1590 KL/₹ Crore

*Data for all stations and office buildings were not monitored last year.

If any independent assessment/ evaluation/assurance has been carried out by an external agency ?

The Company has not undertaken an independent assessment on this parameter during the reporting period.

If yes, name of the external agency.

Not Applicable.

4. Has the entity implemented a mechanism for Zero Liquid Discharge? If yes, provide details of its coverage and implementation.

One of the sub targets in meeting the Company's specific water consumption target is achieving Zero Liquid Discharge (ZLD) in all thermal power plants with freshwater source. Budge Budge Generating Station is a Zero Liquid Discharge station, while Southern Generating Station has a Zero Liquid Discharge system except for Condenser Cooling System. Through ZLD, the Company has implemented processes that enable 100% reuse and recycle of water in our operations.

The processes that have enabled this achievement include:

- Ash water recirculation system for reuse of water in slurry for bottom ash removal.
- Reuse of sewage treatment water and effluent water for landscaping.
- Reuse of blowdown water from boiler and cooling tower for dust suppression.
- Reuse of water reject from dual media filtration and ultra-filtration process.

5. Please provide details of air emissions (other than GHG emissions) by the entity, in the following format:

Parameter	Please specify unit	FY 2022-23		FY 2021-22	
		BBGS	SGS	BBGS	SGS
NOx	mg/Nm ³	397	393	535	441
Sox	mg/Nm ³	908	840	917	824
Particulate matter (PM)	mg/Nm ³	28	28	27	52
Persistent organic pollutants (POP)	MT	Not a statutory requirement			
Volatile organic compounds (VOC)	MT	Not a statutory requirement			
Hazardous air pollutants (HAP)	MT	Not a statutory requirement			

If any independent assessment/ evaluation/assurance has been carried out by an external agency?

The Company has not undertaken an independent assessment on this parameter during the reporting period.

If yes, name of the external agency.

Not Applicable.

6. Provide details of greenhouse gas emissions (Scope 1 and Scope 2 emissions) & its intensity, in the following format:

Parameter	Unit	FY 2022-23	FY 2021-22
Total Scope 1 emissions (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)	Metric tonnes of CO ₂ equivalent	52,05,674.2	53,35,527
Total Scope 2 emissions (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)	Metric tonnes of CO ₂ equivalent	11,679	10,911
Total Scope 1 and Scope 2 emissions per rupee of turnover		654 tonnes of CO ₂ equivalent/₹ Crore	730 tonnes of CO ₂ equivalent/₹ Crore

If any independent assessment/ evaluation/assurance has been carried out by an external agency?

The Company has not undertaken an independent assessment on this parameter during the reporting period.

If yes, name of the external agency.

Not Applicable.

7. Does the entity have any project related to reducing Green House Gas emission? If yes, then provide details.

CESC is cognizant of the challenges posed by climate change and the urgent need for reducing greenhouse gas emissions. India being a signatory to the landmark agreement at Paris is committed to achieve net zero emissions by 2070 and will strive towards reducing its emission intensity as of 2005 by 45% by 2030. The Company being in the business of power generation recognise that we have a key role to play in providing our consumers with reliable power while enabling the country in phasing down use of fossil fuels in line with the Glasgow Climate Pact.

Aligning the need of the hour with the Company's business operations, both the Generation and Distribution teams have incorporated the following strategies to minimise the greenhouse gas emissions:

Adopting energy efficient technologies: Improving upon our energy efficiency especially through reducing our auxiliary power consumption is an integral part of our climate change strategy. CESC always strive to combine technology, process and concern towards the benefit of environment and society. The Company proactively engage with stakeholders to innovate and identify emerging technologies that pave the pathway for reducing energy demand and fulfilling our climate goals. The Company has adopted several new technologies and upgraded existing infrastructure during the financial year to reduce its energy intensity (details of such measures are available in Annexure A of the report in compliance with Section 134(3)(m) of the Companies Act, 2013). Further, many of our offices and substations embrace the Green Building Principles to supplement the decarbonisation process through energy efficiency measures.

Alternative sources of energy: While there is an endeavour to improve upon operational efficiency, the Company continues to offset fossil fuel consumption at own operations by harnessing energy from renewable energy sources primarily from solar power generating sources. The Company has installed solar rooftops to the tune of 228 kW at its substations and generating stations. At Southern Generation Station, the Company operates a 3X15 kW micro hydel project for its auxiliary power consumption. The Company's generation stations have also made a conscious effort to utilise biomass pellets as an alternative to coal, thereby enhancing use of renewable energy in operations.

Committed towards providing low carbon electricity to its consumers, CESC's efforts extend towards greening the supply chain. The Company employs various methods including procurement of renewable energy from market mechanisms like Green Term Ahead Markets and Green Day Ahead Markets and engaging with large sized solar power generators through long term power purchase agreements.

Furthermore, during the reporting period the Company has commissioned its first microgrid at Chakmir substation, having a floating solar plant of 100kWp capacity supported with 218 kWh Battery Energy Storage System (BESS) to enable decentralised and sustainable power sourcing and help in crisis management.

Through the ability to make green power available, the Company also offers exclusive green power for distribution to customers who can choose it at a premium rate.

Distribution loss control: CESC considers distribution losses as one of the key concerns in its climate change mitigation roadmap. Both technical and non-technical losses impact the health of the utility economically and operationally, as well as result in increase in our greenhouse gas footprint. The Company's strategic Loss Control Cell (LCC) ensures minimal distribution losses by scheduling periodic energy audits, identifying loss prone areas, undertaking consumer indexing to pin-pointed sales gap areas, and applying different conventional and innovative methods. Some of these methods include replacement of non-functional Automatic Power Factor Control (APFC) panels, use of coaxial cables and renovation of metre boxes.

Low carbon transformation of value chain: The Company strives towards electrifying the entire value chain to facilitate a low-carbon transformation. In this endeavour, the Company promotes the adoption of environment friendly technologies and devices, such as electric vehicles and e-cooking, among the public, including our customers.

Promoting demand side interventions: As a responsible business entity, CESC goes beyond its regular business to make customers aware of their patterns, energy conservation measures, and assists them in effectively managing their power demand. The electricity bill is a useful tool for achieving this transparency. By providing consumption and tariff details in the bill, customers are made aware of their energy consumption. The bills also contain energy efficiency tips. CESC has also released an e-booklet 'Be Smart Save Smart' offering energy-saving tips. Furthermore, customers are also informed about the latest technologies that promote energy conservation and clean energy through the Company's website and other digital service platforms.

Through the successful adoption and implementation of the decarbonisation strategy, the Company has made significant strides towards measuring its carbon footprint and reducing its emissions significantly over the years. The Company's progress in line with its commitments are illustrated subsequently in this section.

8. Provide details related to waste management by the entity, in the following format:

Parameter	FY 2022-23	FY 2021-22
Total waste generated (In metric tonnes)		
Plastic waste (A)	-	-
E-waste (B)	0	5.13
Bio-medical waste (C)	0.0186	0.01
Construction and demolition waste (D)	-	-
Battery waste (E)	-	-
Radioactive waste (F)	-	-
Other Hazardous waste. Please specify, if any. (G)	144.94*	311.3*
Other Non-hazardous waste generated (H)	Metal Scrap- 66.1 Office waste (dry and wet)- 71.87	Metal Scrap- 54.1
Total (A+B + C + D + E + F + G + H)	282.93	370.54
For each category of waste generated, total waste recovered through recycling, re-using or other recovery operations (in metric tonnes)		
Category of waste		
(i) Recycled	Used oil- 140.96 Bio Medical waste- 0.0082 Waste oil- 2	Used oil- 296.91 Bio Medical waste- 0.0045 E-waste- 5.13
(ii) Re-used	Used oil- 96.07	Used Oil- 222.68
(iii) Other recovery operations		-
Total	239.03	524.72
For each category of waste generated, total waste disposed by nature of disposal method (in metric tonnes)		
Category of waste		
(i) Incineration	Bio Medical Waste- 0.009 Waste Resin- 0.70 Oil-Soaked Cotton Waste- 0.55 Used Oil- 24.02	Bio Medical Waste- 0.009 Waste Resin- 0.69 Oil-Soaked Cotton Waste- 0.75
(ii) Landfilling		-
(iii) Other disposal operations	Metal scrap- 66.1 Office waste (dry and wet)- 71.87	Metal scrap- 54.1
Total	163.24	55.55

* Used oil density has been considered as 0.95 Tonnes/KL

If any independent assessment/ evaluation/assurance has been carried out by an external agency?

The Company has not undertaken an independent assessment on this parameter during the reporting period.

If yes, name of the external agency.

Not Applicable.

9. Briefly describe the waste management practices adopted in your establishments. Describe the strategy adopted by your Company to reduce usage of hazardous and toxic chemicals in your products and processes and the practices adopted to manage such wastes.

CESC aims to reduce the amount of waste produced by incorporating recycled materials into the production process. In addition, it endeavours to handle waste disposal in a responsible manner and has established Standard Operating Procedures (SOPs) for its plants to ensure proper disposal. All waste generated are segregated at source into hazardous and non-hazardous waste. Hazardous waste generated is disposed through SPCB approved third party vendors. The non-hazardous waste generated is sent to authorised vendors for appropriate disposal or recycling.

The Company is committed towards achieving zero waste to landfill and enhancing the value-added utilisation of waste. The hazardous waste generated at all power stations includes oil-soaked cotton, used oil, and resins, which can pose significant risks to the environment and nearby communities. Therefore, the wastes are handled carefully and responsibly by diverting it to appropriate disposal channels and authorised recyclers in compliance with the rules and regulations stipulated by the State Pollution Control Board (SPCB).

Used mineral oil is recycled for re-use of the same in OLTC, Distribution transformers etc. thereby minimising waste generation and requirement of additional oil. Moreover, CESC has replaced mineral oils with synthetic ester-filled oil across five power transformers and with either synthetic or natural ester oil in twelve distribution transformers. These oils offer several advantages over mineral oil, including its characteristics of biodegradability. This makes ester oil an eco-friendlier option for disposal. Additionally, ester oil can withstand higher levels of heat and is less flammable than mineral oil, which significantly improves safety.

10. If the entity has operations/offices in/around ecologically sensitive areas (such as national parks, wildlife sanctuaries, biosphere reserves, wetlands, biodiversity hotspots, forests, coastal regulation zones etc.) where environmental approvals / clearances are required, please specify details in the following format:

S. No.	Location of operations/ offices	Type of operations	Whether the conditions of environmental approval / clearance are being complied with? (Y/N) If no, the reasons thereof and corrective action taken, if any.
The Company has no operations/offices in/around any ecologically sensitive areas. All the operating plants/stations have a valid CTO for operations.			

11. Details of environmental impact assessments of projects undertaken by the entity based on applicable laws, in the current financial year:

Name and brief details of project	EIA Notification No.	Date	Whether conducted by independent external agency (Yes / No)	Results communicated in public domain (Yes / No)	Relevant Web link
Not Applicable. The Company is not required to conduct EIA as it falls under orange category.					

12. Is the entity compliant with the applicable environmental law/ regulations/ guidelines in India, such as the Water (Prevention and Control of Pollution) Act, Air (Prevention and Control of Pollution) Act, Environment protection act and rules thereunder (Y/N). If not, provide details of all such non-compliances, in the following format: Yes

S. No.	Specify the law / regulation / guidelines which was not complied with	Provide details of the non-compliance	Any fines / penalties / action taken by regulatory agencies such as pollution control boards or by courts	Corrective action taken, if any
N.A.				

N.A. - Not Applicable

Leadership Indicators

1. Provide break-up of the total energy consumed (in Joules or multiples) from renewable and non-renewable sources, in the following format:

Parameter	FY 2022-23	FY 2021-22
From renewable sources		
Total electricity consumption (A)	14,099.71 GJ	815 GJ
Total fuel consumption (B)	-	-
Energy consumption through other sources (C)	-	-
Total energy consumed from renewable sources (A+B+C)	14,099.71 GJ	815 GJ
From non-renewable sources		
Total electricity consumption (D)	52,014.92 GJ	42,355 GJ
Total fuel consumption (E)	5,81,44,997.22 GJ	5,55,35,444 GJ
Energy consumption through other sources (F)	-	-
Total energy consumed from non-renewable sources (D+E+F)	5,81,97,012.14 GJ	5,55,78,614 GJ

If any independent assessment/ evaluation/assurance has been carried out by an external agency?

The Company has not undertaken an independent assessment on this parameter during the reporting period.

If yes, name of the external agency.

Not Applicable.

2. Provide the following details related to water discharged:

Parameter	FY 2022-23	FY 2021-22
Water discharge by destination and level of treatment (in kilolitres)		
(i) To Surface water		
- No treatment	-	-
- With treatment – please specify level of treatment	10,48,86,804	2,70,65,132
(ii) To Groundwater		
- No treatment	-	-
- With treatment – please specify level of treatment	-	-
(iii) To Seawater		
- No treatment	-	-
- With treatment – please specify level of treatment	-	-
(iv) Sent to third parties		
- No treatment	-	-
- With treatment – please specify level of treatment	-	-
(v) Others		
- No treatment	-	-
- With treatment – please specify level of treatment	-	-
Total water discharged (in kilolitres)	10,48,86,804	2,70,65,132

If any independent assessment/ evaluation/assurance has been carried out by an external agency?

The Company has not undertaken an independent assessment on this parameter during the reporting period.

If yes, name of the external agency.

Not Applicable.

3. Water withdrawal, consumption and discharge in areas of water stress (in kilolitres):

For each facility / plant located in areas of water stress, provide the following information:

- (i) Name of the area - Not Applicable
- (ii) Nature of operations - Not Applicable
- (iii) Water withdrawal, consumption, and discharge in the following format:

Parameter	FY 2022-23	FY 2021-22
Water withdrawal by source (in kilolitres)		
(i) Surface water		
(ii) Groundwater		
(iii) Third party water		
(iv) Seawater / desalinated water		
(v) Others		
Total volume of water withdrawal (in kilolitres)		Not Applicable
Total volume of water consumption (in kilolitres)		
Water intensity per rupee of turnover (Water consumed / turnover)		
Water intensity (optional) – the relevant metric may be selected by the entity		
Water discharge by destination and level of treatment (in kilolitres)		
(i) To Surface water		
- No treatment		
- With treatment – please specify level of treatment		
(ii) To Groundwater		
- No treatment		
- With treatment – please specify level of treatment		
(iii) To Seawater		
- No treatment		
- With treatment – please specify level of treatment		Not Applicable
(iv) Sent to third parties		
- No treatment		
- With treatment – please specify level of treatment		
(v) Others		
- No treatment		
- With treatment – please specify level of treatment		
Total water discharged (in kilolitres)		

None of the Company's operations are located in water stress regions as per recent reports of Central Groundwater Board

If any independent assessment/ evaluation/assurance has been carried out by an external agency?

Not Applicable.

If yes, name of the external agency.

Not Applicable.

4. Please provide details of total Scope 3 emissions & its intensity, in the following format:

Parameter	Unit	FY 2022-23	FY 2021-22
Total Scope 3 emissions (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)	Metric tonnes of CO ₂ equivalent	CESC understands that its scope 3 emissions is quite significant owing to its logistic and value chain operations. Thus, the Company endeavours to estimate its Scope 3 emissions in future.	
Total Scope 3 emissions per rupee of turnover			
Total Scope 3 emission intensity (optional) – the relevant metric may be selected by the entity			

If any independent assessment/ evaluation/assurance has been carried out by an external agency?

Not Applicable.

If yes, name of the external agency.

Not Applicable.

5. With respect to the ecologically sensitive areas reported at Question 10 of Essential Indicators above, provide details of significant direct & indirect impact of the entity on biodiversity in such areas along-with prevention and remediation activities.

Question 10 is not applicable as the Company does not have operations/offices in/around ecologically sensitive areas. Hence, there are no significant direct & indirect impact of the entity on biodiversity in such areas.

6. If the entity has undertaken any specific initiatives or used innovative technology or solutions to improve resource efficiency, or reduce impact due to emissions / effluent discharge / waste generated, please provide details of the same as well as outcome of such initiatives, as per the following format:

Sr. No	Initiative undertaken	Details of the initiative (Web-link, if any, may be provided along-with summary)	Outcome of the initiative
1	Reduction in auxiliary electricity	- Replacement of SVP Lamp sets with LED lights at selected areas at Main Plant and CHP. - Replacement of the least efficient AC Plant CCW pump of two units with an energy efficient new pump. - Replacement of the pressure stage pump cartridge of BFP-1B with a refurbished one to improve the efficiency. - LoRa radio link based high energy drain valves' downstream temperature monitoring system at Unit-1 for quick detection of heat loss through high energy drain valve passing etc. are some of the initiatives. - Trimming of Primary Air Fan rotating elements to save energy including trimming of circulating cooling water pump's rotating elements to save energy, modification of gear box driven assembly with direct drive for AC plant CT Fan. - Minimising Specific Oil Consumption (SOC) for increasing number of reserves shutdowns. - Use of efficient LED lamps and smart lighting systems. - Use of star rated energy efficient air conditioning systems.	Reduced energy consumptions and enhanced energy efficiency.
2	Integration of renewable energy	- The Company has installed solar rooftops to the tune of 228 kW at its substations and generating stations. - At Prinsep Street Substation, a roof top wind turbine of 5.1 kWp has been installed with grid connection. - At Southern Generation Station, the Company operates a 3X15 kW micro hydel project for its auxiliary power consumption. - The Company has commissioned its first microgrid at Chakmir substation, having a floating solar plant of 100kW capacity supported with 218 kWh Battery Energy Storage System (BESS). - Solar panels installed for BBGS Gate complex building. - At BBGS, 2 kW solar panels installed for running the air to water project in the canteen	Lesser reliance on fossil fuel-based energy sources.
3	Green Building	The Company embraces the principles of Green Building to enhance resource optimization and efficiency. The Company till date has a portfolio of 8 green buildings.	- Enhanced energy efficiency. - Decreased water and energy use.
4	Alternative fuel use	At BBGS, biomass is used in the fuel mix. As part of the future plans, BBGS has conducted a feasibility study for biomass pellet unloading, storage and feeding.	Decreased carbon emissions.

Sr. No	Initiative undertaken	Details of the initiative (Web-link, if any, may be provided along-with summary)	Outcome of the initiative
5	Electric vehicles	- BBGS is in the process of arranging six Electric Autos to roam around the plant so that the LPG autos can be gradually phased out. - At BBGS, one electric battery powered golf cart and e-rickshaw have been converted into a multipurpose fire van. - Installed three EV Public Charging Stations in collaboration with Kolkata Municipal Corporation at three strategic locations. - Installed EV chargers at two locations (CESC House and Taratala DTI) for charging the captive fleet. - The Company has already provided supply at 11 nos. West Bengal Transport Corporation (WBTC) bus depots to support electric bus charging and is in the process to extend supplies at another 13 bus depots.	Decreased carbon emissions from vehicles.
6	Rainwater harvesting	- Rooftop rainwater harvesting system has been constructed at BBGS above the cooling water pump house. - Rainwater harvesting system has been incorporated at the Park Circus Distribution Station and EM Substations.	Water conservation and less dependency on fresh water.
7	Sewage treatment plant	Sewage Treatment Plant with 7 KL/day capacity has been installed to recycle the sewage water of the gate Complex Building of plant.	Effective wastewater management and reuse of water.
8	Air to water generator	A 100 Litres/day atmospheric air to water generator has been installed at the BBGS canteen. Drinking water is being generated from ambient air through this equipment.	Water conservation.
9	Admixture use for construction	Use of admixture for reducing water requirements for concrete.	Reduced water consumption.
10	Automatic water level controller	Automatically adjusts the water level in tank by turning off motor when there is no water flow, thus saving energy.	Reduced energy and water consumption.
11	Zero Liquid Discharge	Budge Budge Generating Station is a Zero Liquid Discharge station, while Southern Generating Station has a Zero Liquid Discharge system except for Condenser Cooling System.	Less dependency on fresh water.
12	Transformer Oil Reuse	Reclamation of Used Mineral Oil and re-use of same in OLTC, Distribution Transformers etc. instead of New Oil.	Minimise waste generation and reduce requirement / use of new oil.
13	Distribution Transformer Reuse	Refurbishment of old DTR and reuse of same in power network.	- Minimise waste generation and optimise use of natural resources. - Cost reduction against new DTR.

7. Does the entity have a business continuity and disaster management plan? Give details in 100 words/ web link.

Yes, the Company has both Business Continuity plan and disaster management plan.

Business Continuity Plan

Owing to the Company's dynamic environment, the Company has evaluated its preparedness for business continuity by incorporating certain measures:

- Upgrading all DC/DR with Hyper Converged Infrastructure, a cutting edge 24x7 Network Operation Centre (NOC) & Security Operation Centre (SOC).
- Implementing a global standard User Email system for Company's corporate use.
- Using high-availability Web Application Firewall (WAF) both internally & externally to safeguard all the Company's applications.
- Exploring appropriate Cyber Insurance coverage with multiple insurance providers to evaluate and prepare accordingly.
- Conducting mock drills in the Generation and Distribution divisions as per the Crisis Management Plan (CMP).

Disaster Management Plan

A disaster management plan and a comprehensive set of standard operating procedures is in place for pre, during & post disaster activities to mitigate the risk of cyclones and floods. Disaster management is governed by three layered structures: Apex Disaster Management Group (ADMG), CDMG (Central Disaster Management Group) and NDMG (Nodal Disaster Management Group) with defined responsibility matrix to oversee the execution of the plan. The plan entails a 3-tier approach focused on communication & coordination, redundancy enhancement and resource augmentation to ensure adequacy of preparation during cyclone, nor 'westers, flood, and earthquake.

Web Link: <https://www.cesc.co.in/storage/uploads/sustainability/CESC%20ESG%20Report%202021-22.pdf>

8. Disclose any significant adverse impact to the environment, arising from the value chain of the entity. What mitigation or adaptation measures have been taken by the entity in this regard.

The Company has identified no risk associated with violation of environmental laws amongst value chain members assessed during the reporting period.

9. Percentage of value chain partners (by value of business done with such partners) that were assessed for environmental impacts.

1.6% of value chain members have been exercised for the Supplier Due Diligence process which includes assessment for environmental impacts.

Principle 7: Businesses, when engaging in influencing public and regulatory policy, should do so in a manner that is responsible and transparent

Essential Indicators

1. a. Number of affiliations with trade and industry chambers/ associations.

The Company is associated with 17 industry chambers/ associations.

b. List the top 10 trade and industry chambers/ associations (determined based on the total members of such body) the entity is a member of/ affiliated to.

S. No.	Name of the trade and industry chambers/ associations	Reach of trade and industry chambers/ associations (State/ National)
1	Confederation of Indian Industries (CII)	National
2	The Associated Chambers of Commerce & Industry of India (ASSOCHAM)	National
3	The Committee of International Council on Large Electric Systems, India (CIGRE)	National
4	India Smart Grid Forum (ISGF)	National
5	National Safety Council (NSC)	National
6	Central Board of Irrigation & Power (CBIP)	National
7	All India Management Association (AIMA)	National
8	National HRD Network (NHRDN)	National
9	Employers' Federation of India (EFI)	National
10	Administrative Staff College of India (ASCI)	National
11	Quality Circle Forum of India (QCFI)	National
12	Council of Power Utility	National
13	Bureau of Indian Standards (BIS)	National
14	Institute of Electrical and Electronics Engineers (IEEE)	National
15	Calcutta Management Association (CMA)	State
16	British Council Limited (BCL)	State
17	State Productivity Council	State

2. Provide details of corrective action taken or underway on any issues related to anti-competitive conduct by the entity, based on adverse orders from regulatory authorities.

Name of authority	Brief of case	Corrective action taken
N.A.		

N.A. - Not Applicable

Leadership Indicators

1. Details of public policy positions advocated by the entity:

S. No.	Public policy advocated	Method resorted for such advocacy	Whether Information available in public domain? (Yes/No)	Frequency of Review by Board (Annually/ Half yearly/ Quarterly /Others – please specify)	Web Link, if available
N.A.					

N.A. - Not Applicable

Principle 8 Businesses should promote inclusive growth and equitable development

Essential Indicators

1. Details of Social Impact Assessments (SIA) of projects undertaken by the entity based on applicable laws, in the current financial year.

Name and brief details of project	SIA Notification No.	Date of notification	Whether conducted by independent external agency (Yes / No)	Results communicated in public domain (Yes / No)	Relevant Web link
SIA was not undertaken during the reporting period.					

2. Provide information on project(s) for which ongoing Rehabilitation and Resettlement (R&R) is being undertaken by your entity.

S. No.	Name of Project for which R&R is ongoing	State	District	No. of Project Affected Families (PAFs)	% of PAFs covered by R&R	Amounts paid to PAFs in the FY (In ₹)
No Rehabilitation and Resettlement is being undertaken by the Company						

3. Describe the mechanisms to receive and redress grievances of the community.

The Company aims to support underprivileged communities through its CSR initiatives, in a way that is both considerate and effective, with the goal of improving their quality of life.

The Company's CSR team selects non-profit organisations based on their expertise and experience to implement CSR activities on the ground. All CSR projects ensure beneficiary and stakeholder involvement through formation of groups, where they can share their views as well as voice their grievances. Apart from regular discussions between implementing partners and communities, the Company has a system of conducting quarterly review of CSR projects during which stakeholders can voice their concerns and grievances and appropriate redressal initiatives are taken.

The Company also undertakes an Annual Beneficiary Perception Survey to understand the effectiveness of the CSR programmes. Through the surveys, the Company can identify the gaps if any among between the activities and the needs of the community. Based on the same, the CSR programmes are further customised.

4. Percentage of input material (inputs to total inputs by value) sourced from suppliers:

	FY 2022-23	FY 2021-22
Directly sourced from MSMEs/ small producers	3.10%	3.26 %
Sourced directly from within the district and neighbouring districts	65.93%	68.72 %

Leadership Indicators

1. Provide details of actions taken to mitigate any negative social impacts identified in the Social Impact Assessments (Reference: Question 1 of Essential Indicators above).

Details of negative social impact identified	Corrective action taken
SIA was not undertaken during the reporting period.	

2. Provide the following information on CSR projects undertaken by your entity in designated aspirational districts as identified by government bodies.

S. No.	State	Aspirational District	Amount spent (In INR)
The Company has not invested in any community development programmes in the aspirational districts identified by Niti Aayog			

3. a) Do you have a preferential procurement policy where you give preference to purchase from suppliers comprising marginalised /vulnerable groups? (Yes/No)

As part of Company's commitment towards its procurement activities, the Company looks forward in exploring opportunities to actively identify, develop and do business with diverse supplier groups.

CESC has developed Inclusive Growth and Equitable Development Policy, which outlines the Company's commitment towards conducting business responsibly in recognition to the social and economic development concerns and builds upon the national and local sustainable development agenda. CESC constantly emphasises on the procurement practices from local suppliers. This not only contributes towards the cost savings on logistics, but also aids in cutting down vehicular emissions. Additionally, local procurement practices also boost the local economy.

Aligned with the provisions of the Inclusive Growth and Equitable Development Policy, the Company is committed to establishing a competitive and sustainable value chain linked to the businesses which create sustainable livelihoods, especially for vulnerable communities.

- b) From which marginalised/vulnerable groups do you procure?

The Company actively identifies, develops diverse suppliers' group as an integral component of its procurement practices. To promote supplier diversity and inclusion in the supply chain, the Company engages with supplier groups that are of small and medium scale and whose proprietor is a woman, transgender, or person with disability as vulnerable.

The Company procures from these vulnerable suppliers proactively.

- c) What percentage of total procurement (by value) does it constitute?

The Company shall try to develop a mechanism to capture the required data in the years to come.

4. Details of the benefits derived and shared from the intellectual properties owned or acquired by your entity (in the current financial year), based on traditional knowledge.

S. No.	Intellectual Property Based on Traditional Knowledge	Owned/Acquired (Yes/No)	Benefit Shared (Yes/No)	Basis of Calculating Benefit
N.A.				

N.A. - Not Applicable

5. Details of corrective actions taken or underway, based on any adverse order in intellectual property related disputes wherein usage of traditional knowledge is involved.

S. No.	Intellectual Property based on traditional knowledge	Owned/ Acquired (Yes/No)	Benefit shared (Yes / No)	Basis of calculating benefit share
N.A.				

N.A. - Not Applicable

6. Details of beneficiaries of CSR Projects:

CSR Project	No. of persons benefitted from CSR Projects	% of beneficiaries from vulnerable and marginalised groups
Akshar	- Children – 504 - Guardians– 690 - Formal School Teachers – 69	100%
Muktangan	- Children– 243 - Guardians– 369 - Formal School Teachers – 35	100%
Indradhanush	- Children – 481 - Guardians – 1675 - Formal School Teachers – 16	100%
SNEH	- Women – 4897 - Children– 595	100%
Health Camps	536 persons	100%
Jaldhara Rainwater Harvesting	3000 persons	100%
Kiran	1000 slum dwellers	100%
Urja Chetna	- Students – 5869 - Teachers – 325	100%
Eklavya - CESC Skill Academy	- Trained – 1622 - Placed – 1043	100%

Principle 9: Businesses should engage with and provide value to their consumers in a responsible manner

Essential Indicators

1. Describe the mechanisms in place to receive and respond to consumer complaints and feedback.

In line with the Regulatory Guidelines, CESC has put in place a Grievance Redressal Forum (GRF) consisting of Officers Grievance Redressal Officers (GROs) and Central Grievance Redressal Officers (CGROs). All consumer having grievances can approach his/ her concerned GRO with his/ her complaint. The concerned officers will deal with the complaint in accordance with the Regulatory Guidelines and give a reasonable solution after hearing the complainant and representing officer of CESC.

Apart from the aforesaid Grievance Redressal Forum, a consumer can also lodge complaints to CESC through Letter, Mail, Telephone (24x7 call centre) or through other digital platforms like CESC's Website, Mobile App and Chat Bot.

Any complaints resulting from an outage when received is docketed in Customer Relationship Management (CRM) system and the message is relayed to the LT control room engineers who dispatch the mobile field crew. Generally a SMS is sent to concerned consumers regarding the occurrence of the fault and the expected restoration time. Implementation of Outage Management System application synced with SCADA provides real time information regarding outages. Any delay with regards to restoration of supply is flagged in the CRM dashboard, which is monitored 24x7 by LT Control Room Engineers, who expedite the supply restoration.

2. Turnover of products and/ services as a percentage of turnover from all products/service that carry information about:

	As a percentage to total turnover
Environmental and social parameters relevant to the product	N.A.
Safe and responsible usage	
Recycling and/or safe disposal	

N.A. - Not Applicable

	FY 2022-23		Remarks	FY 2021-22		Remarks
	Received during the year	Pending resolution at end of year		Received during the year	Pending resolution at end of year	
Data privacy	0	0	None	0	0	None
Advertising	0	0	None	0	0	None
Cyber-security	0	0	None	0	0	None
Delivery of essential services	1111	15	None	922	13*	None
Restrictive Trade Practices	0	0	None	0	0	None
Unfair Trade Practices	0	0	None	0	0	None
Other	0	0	None	0	0	None

*Includes the pending complaints received during previous years

4. Details of instances of product recalls on account of safety issues:

	Number	Reasons for recall
Voluntary recalls	N.A.	
Forced recalls		

N.A. - Not Applicable

5. Does the entity have a framework/ policy on cyber security and risks related to data privacy? (Yes/No) If available, provide a web-link of the policy.

Yes, the Company has a cybersecurity framework in place and has put in mechanisms for tackling and mitigation of cyber risks and data privacy threats.

The framework is crucial in safeguarding the business processes against potential security breaches and preventing any misuse of customer data. To ensure the commitment, Company is following structured processes that are enabled by implementing the ISO 27001:2013 standard guidelines.

Every year, the Company undertakes a rigorous cybersecurity assessment through Computer Emergency Response Team (CERT-In) empanelled assessors for all our processes and frameworks. During the programme, all our security systems, policies and controls are assessed and validated against applicable regulations and cybersecurity guidelines of CEA or National Critical Information Infrastructure Protection Centre (NCIIPC).

As part of Company's 2030 targets, the aim is to expand the implementation of the Information Security Management System (ISMS) outlined in ISO 27001 and ISO 27031 to cover other areas such as generation and distribution functions. Additionally, CESC plans to implement ISO 22301:2019 (Business Continuity Management System) in a phased approach, leading to a comprehensive compliance management program.

Web Link: <https://www.cesc.co.in/sustainability>

6. Provide details of any corrective actions taken or underway on issues relating to advertising, and delivery of essential services; cyber security and data privacy of customers; re-occurrence of instances of product recalls; penalty / action taken by regulatory authorities on safety of products / services.

No cases or incidents around issues pertaining to advertising, and delivery of essential services, cybersecurity and data privacy of customers has been reported in the financial year.

However, any general complaints resulting from an outage when received is docketed in Customer Relationship Management (CRM) system and the same is visible to the Regional Reporting Centres (RRC) in the system. They act by sending mobile field crew to the site and attend the complaints. Also, in certain cases message is received through Police or Other Agencies by our Security Control room of CESC for cases pertaining to Emergency situations like Fire, Conductor snapping etc. who in turn relay it to the LT control room from where dockets are generated taking the help of Call Centre and the said complaint is attended through the RRC who dispatch the mobile field crew to site and gets the complaint attended. For any type of complaints based on our empirical mapping of Customer to Distribution Transformers and availability of valid Mobile numbers. Generally a SMS is sent to concerned consumers regarding the occurrence of the fault and the expected restoration time. For cases related to HT outages, Implementation of Outage Management System application synced with SCADA provides real time information regarding outages. Any delay with regards to restoration of supply is flagged in the CRM dashboard, which is monitored 24x7 by LT Control Room Engineers, who expedite the supply restoration.

Additionally, all the control rooms are enabled with sensor based IoT platform and drones for online health monitoring and predictive maintenance of the Network & Equipment to ensure uninterrupted power supply (24x7). HT & LT Command Centres backed up with GIS technology, enables quick mobilisation of gangs through Crew Management App along with GPS tracking to quickly attend the affected places. The Company prioritises prompt restoration of power for healthcare facilities and major drainages within 30 mins through RMU automation.

Leadership Indicators

1. Channels / platforms where information on products and services of the entity can be accessed (provide web link, if available).

Details about the Company's offerings can be found on the Company's website. Please visit the following web links to access the same:

CESC Website: <https://www.cesc.co.in/home>

CESC ESG Report: <https://www.cesc.co.in/storage/uploads/sustainability/CESC%20ESG%20Report%202021-22.pdf>

2. Steps taken to inform and educate consumers about safe and responsible usage of products and/or services.

CESC takes all the necessary steps to ensure safe use of electricity by deploying various means to create awareness. These includes:

- Branding of all call centre vehicles with safety messages.
- Organising safety workshops for electricians and residents of housing complexes on online platforms through webinars and social media.
- Safety mailers on electrical safety aspects through electricity bills and in the form of leaflets with special emphasis during the monsoon season.
- Awareness campaigns through loudspeakers in auto rickshaws during monsoons.
- Organising tableau movements in collaboration with the local police authorities and broadcasting safety messages in vernacular language around the lanes and bye-lanes of identified areas during the monsoons.
- Displaying safety posters and hoardings at strategic locations in the city.

3. Mechanisms in place to inform consumers of any risk of disruption/discontinuation of essential services.

Through the CRM system, the affected consumers are informed via SMS the fault and the estimated time for restoration. The Outage Management System application also helps in process by working in sync with SCADA to monitor the real time progress. Any delay in restoration also reflects on the CR, dashboard and is communicated to the consumers. The HT & LT Command Centres are also backed up with GIS technology, enabling quick mobilisation of restoration. The call centre agents call back to the affected consumers and reconfirms about supply restoration.

4. Does the entity display product information on the product over and above what is mandated as per local laws? (Yes/No/Not Applicable) If yes, provide details in brief.

Not Applicable.

Did your entity carry out any survey about consumer satisfaction relating to the major products / services of the entity, significant locations of operation of the entity or the entity as a whole? (Yes/No)

CESC values the suggestions and feedback of its customers to ensure high level quality service and maximising customer satisfaction. The Company provides dedicated attention to the analysis of customer feedbacks, to understand customer perception, so that appropriate corrective actions are timely implemented without compromising customer satisfaction. To remain competitive and aligned to the market requirements, we conduct two levels of perception.

On call surveys- Daily on-call surveys by third party agents for feedback on the ease, efficacy & behaviour of the personnel involved in delivery of services pertaining to supply restoration service, supply call centre service, meter fixing service, meter reading & billing helpline service.

Online digital surveys- Feedback on digital services are obtained through a website, considering the customer's overall experience including parameters like how easy it was to access the exact service required, and how simple it was to complete the transaction.

5. Provide the following information relating to data breaches:

- a. Number of instances of data breaches along-with impact: Nil
- b. Percentage of data breaches involving personally identifiable information of Customers: Nil

On behalf of the Board of Directors

Place : Kolkata
Date : May 22, 2023

Dr. Sanjiv Goenka
Chairman
DIN: 00074796